Partner Handbook — Los Gardios Group

This document is a binding appendix, incorporated into the Partnership Agreement signed by the Partner, as referenced in the relevant section of that Agreement. It explains, in clear and practical terms, how the Organization operates, what is expected of every partner day to day, and what stands behind the rules set out in the Partnership Agreement. The Partner Handbook is a confidential document, and is not the Organization's internal "Source Protocol" referenced in the Partnership Agreement (which is not incorporated into, and is not affected by, this Handbook). In the event of any conflict between the Partner Handbook and the Partnership Agreement, the Partnership Agreement prevails.

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Foreword: How to Use This Handbook

The Partner Handbook is structured so that every partner — new or long-standing, from any Discipline Group — can find a practical answer to "how does this work here." The chapters that follow track a partner's natural journey through the Organization: onboarding and training; the organizational structure and tiers; how projects are actually assigned and run; how performance and growth are measured; and how the Organization protects the information, systems and resources we all depend on.

Chapter 1: Our Investment — and Why It Matters to Every Partner

As the Partnership Agreement itself already states: the Organization provides every partner with the backing, financing, technology and organizational infrastructure that supports their partnership activity. Los Gardios is not just a brand or a profit-sharing platform — it is an entire infrastructure, built and continuously maintained, so that every partner can focus on the work and on growth rather than building that infrastructure from scratch. A significant part of the value every partner receives on joining the Organization comes from what was already invested before they arrived:

– **Technological infrastructure (Neuron OS).** The internal ledger system that manages every partner's profit allocations, wallet balances and accounting — so every shekel is documented, transparent and accurate, and no one has to "just trust" a manual calculation.

– **Templates, SOPs and methodology.** A library of files, work templates and procedures refined across hundreds of projects — so a new partner doesn't start from a blank page, but steps directly into a proven working system.

– **Onboarding and training.** The Business School's training tracks, which accompany every partner from day one — and every additional partner they themselves bring into the Organization in the future. Where appropriate, the Organization even fully or partially funds a dedicated Founders' Track training program for partners who have contributed an Enterprise-Scale idea to the Organization — see the Intellectual Property chapter below.

– **Brand, reputation and client relationships.** Years of building brand, trust and client relationships, from which the profit opportunities partners share in are derived.

– **Data security and insurance.** Data-protection mechanisms, access controls, and a uniform professional-liability/cyber insurance standard for every partner who handles client data — see the Data Security chapter below.

This investment is a **shared asset**. It does not belong only to some abstract "Organization" — it is the infrastructure every partner profits from, and every other partner depends on. That is why, as set out in the Partnership Agreement itself, maliciously harming one of these resources — poaching a client, leaking methodology, damaging data — is not a "technical violation" but a direct blow to something all partners built together and rely on. The Partnership Agreement sets liquidated damages for such harm; this chapter explains why protecting this shared investment matters to all of us, not only to the company as a legal entity.

(Continued: onboarding & training, tier structure, project participation, performance & growth, data security, and decision-making chapters follow.)

Chapter 2: Onboarding & Training

Which track this Handbook covers. Before getting into what onboarding actually involves, it's worth clarifying something basic: Los Gardios runs two entirely separate tracks, and the Partner Handbook — like the Partnership Agreement itself — covers only one of them. The School (Los Gardios Business School) is a closed incubation track, operating under a protected virtual-capital model: no real capital, and no binding rights to profit-sharing. The Organization, by contrast, is the operational entity you are actually a partner in — real profit-sharing, against real revenue from clients and brands. If you were onboarded directly to the Organization on the experienced-partner track, that's your track, and it's what this Handbook is about. Rights and obligations arising from the School track are governed, to the extent they apply to you, by a separate agreement — not by this Handbook or the Partnership Agreement.

What your onboarding actually covers, and why. Once you actually start working, you'll go through a focused, abbreviated onboarding training — not one generic course everyone takes the same way, but training built in a measured, precise manner to fit the needs of your specific engagement. Its purpose is entirely practical: to adapt you to the Organization's standards, working

methods, client-service and internal-project procedures, and quality standards — so you can deliver faithful service to the Organization's projects and clients, and so misunderstandings or mistakes get headed off before they happen. Put simply, onboarding exists to save you, the people around you, and your clients from the mistakes a new partner could easily make without that context.

It's worth distinguishing this from the School's training track: your onboarding is focused, short, and tied directly to the role you're stepping into right now. The School's track, by contrast, is a structured academic program lasting over a year, and it does not apply to you if you were onboarded directly to the experienced-partner track. In practice, how well you're meeting the required standards isn't tested through a single formal exam — it's read from your actual conduct during the Incubation Period ("Sandbox") at the start of your work.

The Executive Discretion Exception. Occasionally an exceptional candidate doesn't fully meet the usual technical thresholds or experience requirements — but their potential is clear. In those cases, the Organization may, at its sole discretion, waive the threshold requirements for that specific candidate, from any Discipline Group, provided the candidate proves loyalty and output within an internal examination period the Organization defines. It's worth understanding the limits of this exception: it is granted case by case, and does not create a precedent or a similar right to a waiver for any other candidate — every request is evaluated fresh, on its own.

What else is required before you actually start. This Handbook describes the training itself. The remaining formal steps of onboarding are set out — and binding — in the Partnership Agreement itself.

Chapter 3: Organizational Structure & Tiers

One structure, across every discipline. Every partner in the Organization — regardless of Discipline Group: Commerce, Marketing, Development, Creative-Productions, or any future Discipline Group — is placed within the same universal, five-layer tier structure. This exists so that every partner, in every discipline, shares one common language for describing "who does what" and "how the profit gets divided," instead of each discipline inventing its own separate structure. The five layers are:

– **Execution Layer** — the hands-on delivery layer. Deliberately defined broadly and flexibly, it covers the direct execution work of any discipline: building, production, media buying, selling, service provision, or any other direct delivery of the Work Product or the service to the client. This is the layer that requires the largest workforce in the Organization.

– **Project Manager Wallet** — the partner responsible for leading the project, for the work procedures (SOPs), and for managing the communication and output front.

– **Team Manager Wallet** — the partner who coordinates and synchronizes work among several independent task teams operating on the same profit pool.

– **Department Head / HOD Wallet** — the partner responsible for the overall operational coordination of an entire operational unit or department in the Organization.

– **Royal Members / Group CEOs / COOs / Country CEOs** — the Organization's extended management backbone.

The economic mechanics of this tier structure — the exact percentages each layer draws — are covered in the Compensation Mechanics chapter below. But there's a point just as important worth understanding right now: **the names of the layers and Wallets are a technical-economic label for a profit-sharing layer, and nothing more.** They do not confer, and do not reflect, the status of an officer, manager, supervisor, or subordinate, and they do not create organizational or employment subordination of one layer toward another. Even where one partner operates, operationally, within the "Team Manager Wallet" relative to another partner in the "Execution Layer," both remain, legally, in exactly the same status: business profit partners, exactly as the Partnership Agreement itself defines the Partner's status. The layer describes how profit is split on a given project — not who outranks whom.

What this looks like operationally: the Pool Hierarchy. Beyond the five economic layers, the Organization also has an operational structure — the Pool Hierarchy — that explains how the profit pools themselves are actually organized, matching the shape of the corporation:

– **Squad** — the basic organic cell, managing one specific brand, client, or project.

– **Department** — a grouping of several Squads, coordinated by the Team Manager.

– **Division** — an aggregation of several Departments, coordinated by the Department Head.

– **Group and corporate management** — from here, the flow of funds continues rising up the operational pipeline, from the Department Head to the Group CEO and up to the Conglomerate CEO / Holdings — sometimes through group management organized by domain or geography.

The five economic layers map directly onto this operational structure: the Execution Layer and the Project Manager Wallet operate within the specific Squad managing the project, brand, or client; the Team Manager Wallet coordinates at the Department level, across several Squads; the Department Head Wallet operates at the Division level, aggregating several Departments; and the Royal Members / Group CEOs / COOs / Country CEOs layer operates at the group and corporate management level. Put differently: your economic layer answers "what share of the profit are you in on," and the operational hierarchy answers "which unit are you actually in" — and the two answers always line up with each other.

How the Organization grows without disturbing what already works. When an organizational unit — a Squad, a Department, a Division — reaches its capacity ceiling, the Organization does not split it. That's a deliberate choice: an existing, profitable unit does not get broken apart just because it has hit its capacity limit. Instead, the Organization establishes a new, parallel unit — a new Squad, Department, Division, sub-group, or country branch — and that is the sole expansion mechanism in that situation. The structure is also scalable upward: as the operation grows, the Organization may add new management layers above the existing ones — for example, a Royal Member layer responsible for coordinating several Department Heads beneath it, subsidiary sub-groups, or a country-management infrastructure headed by a Country CEO. Each new grade added this way draws its share from the accounting balance remaining in the profit-sharing Waterfall, without disrupting the existing setup.

Where you're actually placed — not here, but in your engagement document. Neither the Partnership Agreement nor this Handbook ever determines which Discipline Group, title, or Layer-1 Execution status applies to you in a given engagement. Those are determined solely by the Separate Engagement Document — both for your general discipline and role, and for each specific project or engagement (see the How Projects Work chapter below). In the same way, the precise definition of "the Profits" relevant to you changes from engagement to engagement — so that, too, isn't fixed here, but in the Separate Engagement Document of each specific engagement. The reason is simple: the ongoing net profit of an internal brand is a fundamentally different kind of "profit" from the one-off net margin of a single client engagement, and the two can't sensibly be forced into one fixed formula. Each engagement's Separate Engagement Document expressly defines which revenues are included, which operating-expense categories are deducted, and what the measurement period is — for that engagement only. In a client engagement or a cash project, all assigned partners draw their tier share directly from those defined Profits, regardless of Discipline Group; in an internal brand, each partner draws their share from their Discipline Group's split of the brand pool (see the Compensation Mechanics chapter below). This per-engagement definition doesn't replace the Agreement's general definition of "the Profits" — it applies and spells that definition out for the specific engagement. Where the Separate Engagement Document is silent, or doesn't expressly say something different, the Agreement's general definition applies by default.

In writing and signed — always. No determination of a layer, tier, or Discipline Group is valid unless it is recorded in the signed Separate Engagement Document (or in a signed written amendment to it). Once signed, your layer on a given project will not change except by a signed written amendment — subject to the review mechanism described in the How Projects Work chapter. This project-by-project flexibility does not touch the fixed Waterfall percentages

themselves, described in the Compensation Mechanics chapter below — those stay fixed, regardless of which layer you happen to be placed in at any given moment.

How many engagements you can run at once. A partner may manage or participate in several Organization brands, projects, or clients at the same time, subject to a flexible, individual capacity ceiling set separately for each partner, based on their actual output, the efficiency of their work, and the effectiveness of their communication with the projects and clients in their care, as enforced in the Neuron OS system. Here are the numbers that matter: the default for a partner in the Execution Layer is up to **five (5)** active, simultaneous engagements within the Organization. HQ may, based on a specific partner's output, efficiency, and communication effectiveness, set a different personal ceiling for them in writing — higher or lower than the default — but any increased ceiling **will never exceed ten (10)** simultaneous engagements. Once a personal ceiling like this has been set and delivered to you in writing, it overrides the default, with no need for a separate record in the Separate Engagement Document — though its use is still noted in the relevant Separate Engagement Documents. Worth noting: a Private-Scale "internal client" engagement (see the Intellectual Property chapter below) also counts toward the tally of your parallel engagements within the Organization.

These ceilings apply **only** to engagements, projects, and brands **within the Organization itself**. They do not in any way limit or reduce the number of independent, unrelated clients, projects, or occupations you have outside the Organization — there is no ceiling on those at all under the Partnership Agreement.

That said, if your parallel engagements — inside the Organization or outside it — create an actual or even potential conflict of interest (for example, competing offers to clients or consumers the Organization serves), you must disclose the conflict to HQ in writing before starting or continuing the additional engagement. This is an ongoing disclosure duty — not a one-time thing handled at onboarding — and the additional engagement remains subject to the Organization's approval authority.

(Continued: project participation, compensation mechanics, performance & growth, intellectual property, data security, and decision-making chapters follow.)

Chapter 4: How Projects Work

At an organization like Los Gardios, a single partner may be working, at the same time, on several completely different projects — one external client engagement, a different internal brand, and maybe a third project just getting started. This chapter explains how each such project is defined, who decides what within it, and what happens when something genuinely unexpected comes up. Three core duties that apply to every project — the "Work = Consent" doctrine, Absolute Time-

Boxing, and absolute responsibility toward external clients — are binding obligations that stay in the body of the Partnership Agreement itself, and are not repeated here; this chapter explains the operational mechanics that surround them.

Every project lives in its own Separate Engagement Document. Each specific project, brand or client engagement a partner is assigned to has its own signed Separate Engagement Document — and that document, for that project alone, determines the relevant profit pool, the tier placement, the Layer-1 Execution determination, and the start date. In other words: there is no single "umbrella contract" dictating the terms of all of a partner's projects — every project has its own precise document, tailored to it.

Layer-1 Execution is a role for a project, not a personal title. This is one of the most important things to understand: "Layer-1 Execution" is not a fixed title that follows a partner from project to project. The status is determined separately, fresh, for each project — with the default being that a project's Layer-1 Execution is whoever is actually doing the hands-on delivery work on it. The practical meaning: a partner can be Layer-1 Execution on one project and hold an entirely different role on the next one — and that is not a "demotion," just a reflection of who is actually doing the hands-on work on that particular project.

The determination has to be made in writing, at the start of the work — not at the end. The Layer-1 Execution determination is made in writing, in the official Separate Engagement Document, at the commencement of work on the project — never orally. The reason is simple: deciding this in real time, before the work has actually begun, prevents a situation where people argue afterward, once the profits are already on the table, about "who was supposed to be" Layer-1 Execution. The layers are set at the start of the road, not handed out as a prize at the end of it.

Who decides? The authority to decide the Layer-1 Execution determination rests with the managing partner responsible for that specific project — not an outside party, not HQ across the board, but the partner actually running that project. Other partners involved in the project can take part in a real-time discussion, depending on the project's scope — but the decision itself stays with the managing partner.

The review-request mechanism — not a right of appeal. Sometimes a project turns out differently than planned. That is why, at the completion of the project — and before its profit-sharing is distributed — a partner may submit a written request to reopen the Layer-1 Execution determination made at the outset. It is important to understand the limits of this mechanism: it is available only where changes have occurred that were truly unforeseen in the project's scope or in how it played out — not simply dissatisfaction with the financial outcome. The request goes to the same managing person who made the original determination, and that same person decides it, before the profit-sharing happens. This is not an automatic right of appeal: a determination lawfully

made at the start of the work remains in force unless it is decided otherwise within this specific mechanism — and in writing.

Who is the "Project Manager"? — defined by actual role, not by title. The term "Project Manager" might sound like a fixed title, but it is actually determined functionally and automatically: in an external client engagement, the partner who actually closed the deal with the client is automatically that engagement's Project Manager — automatically, by virtue of the Partnership Agreement itself, with no additional management approval needed for the appointment itself. This role entitles the partner, by virtue of that role alone, to the Project Manager compensation layer in the Waterfall (see the chapter on compensation mechanics, below) — and not to the compensation of any other layer, unless the partner is also expressly assigned an additional layer in the Separate Engagement Document. Put simply: closing a deal with a client doesn't automatically also make you "Layer-1 Execution" on that same project — that is a separate determination, made exactly as described above.

The Project Manager appointment takes effect immediately upon the closing of the deal with the client — not whenever someone gets around to writing it down. That said, the management person responsible for the engagement is expected to record the appointment in the Separate Engagement Document within **seven (7) days** of the deal closing, for documentation and tracking purposes only, in the Neuron OS system. A delay in this recording is purely an administrative matter — it does not affect the validity of the appointment and does not affect the Project Manager's economic entitlement. This is also a default rule: it can be changed at any time by written agreement between the Organization and the partner concerned.

The client-document-signature anchor — when an engagement "switches on" even without a signed Separate Engagement Document. Under the regular track, the signed Separate Engagement Document is what governs a project. But for external-client engagements specifically (not internal brands or projects, which continue to be governed solely by the Separate Engagement Document), a supplementary track exists: if a partner actually signs — under their defined role, whether as an executor, a Project Manager, or in any other role — the engagement document, price quotation, or project form the Organization uses with that specific client, that signature by itself is enough to "switch on" the compensation Waterfall and the liability terms of the Partnership Agreement for that engagement — even if the Separate Engagement Document itself has not yet been signed separately.

It is important to understand the limits of this track: it is supplementary to the Separate Engagement Document, not a substitute for it. Such a signature gets recorded afterward in the Separate Engagement Document, for documentation and tracking purposes only (exactly like the Project Manager appointment above) — and a delay in recording does not affect the validity of the anchor. But things like the partner's Discipline Group, official title, areas of responsibility, approved tool

categories, tier placement, and Layer-1 Execution status all continue to be determined solely by the Separate Engagement Document itself, in every case — including for internal brands and projects that have no external client document at all. The principles of the "Work = Consent" doctrine and of absolute internal responsibility toward clients — two further binding duties connected to this topic — are explained in the Partnership Agreement itself.

Chapter 5: Compensation Mechanics in Detail

This chapter builds on Section 6 of the Partnership Agreement ("Consideration — Profit-Sharing Only"). The Agreement itself sets out the foundational principle — that a Partner's sole consideration is a percentage of net profits, with no salary, retainer or equity — and the compensation Waterfall, with its five layers and percentages, which is the economic core of the deal every Partner signs. This chapter doesn't repeat those numbers; it explains what actually happens around them: how compensation is calculated inside internal brands, what happens when a Partner builds something new on their own (an "Incubation Period"), how an internal brand's exit actually translates into payment, and what stands behind the financial power of attorney mechanism, the expense-budget rule, and the cost of tools.

Splitting internal brands — the two-stage model. This rule applies only to the Organization's internal brands — not to cash projects or external client engagements, which bypass this stage entirely and go straight into the ordinary Waterfall. For an internal brand, revenue passes through two stages before it ever reaches the Waterfall's regular layers:

– **Stage 1 — the Squad pool.** All of the brand's revenue first enters a shared team pool (the Squad pool), from which the brand's direct costs are deducted first. What's left after that deduction is the base for the next stage.

– **Stage 2 — the group split.** From the remaining balance, twenty percent (20%) is set aside as a corporate roof share, and the remaining eighty percent (80%) is divided equally among all Discipline Groups currently active on that brand. Today, with four active Discipline Groups, that works out to twenty percent (20%) per group — but that's simply the result of splitting 80% four ways, not a fixed number. If a new Discipline Group is added, the formula automatically rebalances so the shares of all active groups still always add up to that same 80% after the roof share — just divided among more groups, meaning each individual group's slice can shrink.

The corporate roof share (the 20%) doesn't flow straight into the central reserve: it climbs through the same macro-grade mechanism that applies to the top layer of the ordinary Waterfall, as described in the Agreement. Within the 80% split among the groups, by contrast, the ordinary Waterfall (as set out in the Agreement) applies again — but only inside the 20% each group

received, and only among that group's Partners assigned to the brand, never across the brand's pool as a whole.

An internal brand's exit (the M&A Exit Rule). If an internal brand or project is sold, merged or otherwise realized — subject to the Organization's approval, as described in the Agreement — the proceeds don't get special treatment: net of the transaction's own expenses, they enter that brand's pool and count as "Profits" of that engagement for every purpose. In other words, exit proceeds travel exactly the same route as ordinary profits: first through the group-split stage described above (a 20% roof share that climbs independently, and 80% divided among the active Discipline Groups), and then through the ordinary Waterfall inside each group's share — except for the Commerce exception, described next.

Splitting within a layer, and the "Commerce exception." As a rule, the share released to a given layer (the Execution Layer, say) is split equally among all active Partners assigned to that layer in that engagement; if a single Partner provided that layer's service alone, the full share goes to that Partner alone, without being diluted across departments that took no part in the project.

Internal brands carry one more, narrower exception — the Commerce exception: so long as a brand's founder (from the Commerce Discipline Group) manages and runs the brand alone, as a self-contained operating unit, the full Commerce group's share of that brand (the slice described in Stage 2 above) flows directly into their own Wallet, in full — they sit first in that group's payout queue. This doesn't affect the corporate roof share's own independent climb through the macro grades, which keeps happening regardless of how much of the group share the founder personally takes. And once the founder builds an operating team underneath them, the group share stops being entirely theirs: it first splits with the operational managers they've brought in — those managers get paid out of the group share first — and only what's left, if anything, keeps climbing further up the management layers above the founder.

The Incubation Period ("Sandbox"). This is one of the most important things for a new Partner to understand in depth, because it genuinely differs from the standard pool model. When a Partner is assigned a single internal project or brand "for an incubation period" (as noted in that engagement's Separate Engagement Document), they don't yet get access to external clients — but in exchange, for as long as incubation lasts, the full 20% group share of that project (the slice described above) flows directly into the incubating Partner's own Wallet, with no dilution across the Waterfall's layers at all. In practice, that means that while they're building the brand, they are the sole beneficiary of their group's share of it — instead of that share being split across several layers of management, as happens under the standard model. Here too, the corporate roof share keeps climbing independently through the macro grades in parallel, even during the Incubation Period itself.

A few more rules shape incubation in practice:

– **Not a guaranteed right.** Being assigned an incubation project is entirely at the Organization's discretion, not an automatic entitlement. A Partner may be assigned to at most two (2) internal incubation projects or brands at the same time — and being assigned a second one specifically requires HQ's written approval; it is never assumed.

– **Access to an external client before incubation ends** is possible only as an exception — and only with the written approval of a senior Partner in the Partner's own Discipline Group.

– **When incubation ends.** The period is time-limited and expires at the earlier of two triggers: twelve (12) consecutive months of activity, or reaching a certain pre-set monthly-profit threshold. That financial threshold itself isn't fixed here — it's set per project, in that project's own Separate Engagement Document, according to the specific nature of that project.

– **What happens once incubation ends.** The brand "enters the pool" — that is, it moves into the standard distribution model (the same two stages described above, followed by the ordinary Waterfall). Whether the brand becomes its own independent profit pool or joins an existing one is left to a senior officer's discretion at the time of entry. Absent an explicit written decision, the default is that the brand operates as its own independent pool. The Partner who ran the project on their own keeps their standing and their shares under the Commerce exception described above, to the extent its conditions are still met after the move.

No difference by discipline, currency, and how the accounting actually runs. A handful of cross-cutting rules round out the picture:

– **Equality across groups.** No Discipline Group receives a different percentage from any other in the Waterfall. The math is identical for every Partner, in every discipline — there's no "better deal" tied to your specialty.

– **No default currency.** The framework Agreement does not fix a single settlement currency. The currency is set per engagement, only in that engagement's own Separate Engagement Document — typically the billing or local currency of the client for an external engagement, and the local currency of the target market for an internal brand. The Organization's internal USD-denominated reporting is purely an internal management tool, used for consolidating and comparing activity across the portfolio — it neither determines nor limits the actual currency a Partner is paid in.

– **Accounting runs through Neuron OS.** Once each calendar month, and only then, the accounting runs automatically — from the internal Wallets to a real bank transfer against the Partner's invoice.

– **Neuron OS's numbers are "prima facie evidence" only.** The Wallet balances shown in Neuron OS are prima facie evidence — meaning they're rebuttable — not the last word. If Neuron OS's data ever conflicts with the Organization's own audited accounting books (because of a technical fault, a bug, or a data-entry error, for example), the audited books control, and the Organization

corrects the Neuron OS balance to match — including crediting the Partner for any difference if the original balance turns out to have understated what they were owed — within a reasonable period of the discrepancy being discovered.

– **If Neuron OS is ever unavailable.** If the system genuinely isn't available (a fault, planned downtime, and so on) for long enough to threaten the regular monthly accounting date, the calculation doesn't simply stop — it continues on the basis of that project's other measurement systems (forms, internal reports, or any other written mechanism customary to that engagement). Once Neuron OS is back up, the relevant records are updated and reconciled retroactively based on what was actually calculated in the meantime, including crediting any difference that turns up — so a temporary outage never costs a Partner money, it only delays when it's formally recorded.

Expense budgets and prior approval. Any expense connected to a brand, project or engagement has to fit inside a specific budget allocated to it in advance, at the start of that activity — never beyond it. And it isn't enough for the expense to simply be within budget: it also needs full documentation in two places at once — both in that brand's, project's or engagement's own official financial record, and in Neuron OS itself — plus prior approval from a senior officer of the Organization, or from an attorney-in-fact specifically authorized by a senior officer for that purpose. In practice, this means no Partner, in any Discipline Group, can commit the Organization to an expense, a supplier contract, or any other financial obligation beyond the allocated budget without that prior, specific, written approval.

Who pays for tools. As a rule, a Partner bears the cost of the standard tools and equipment appropriate to their own discipline — this isn't an expense the Organization commits to covering. That said, the Organization retains full discretion — entirely its own choice, and with no obligation at all — to reimburse specific costs, or to provide tools or systems under an organizational license instead. It's worth reading this accurately: this is an option the Organization keeps for itself, not a promise a Partner can plan around — a Partner who wants reimbursement for a tool can ask, but isn't entitled to it by default.

The financial power of attorney, in practice (Annex D). The Partnership Agreement gives every Partner the option to grant a financial power of attorney — a tool for routing part of their own Wallet to another person, the "attorney-in-fact." Using this tool is entirely optional: it's relevant and binding only when a Partner actually chooses to use it, and doing so means completing and signing Annex D — a separate form, attached and signed alongside the Partnership Agreement. This chapter doesn't reproduce that form field by field (the fields themselves live in the signed annex); the point here is to explain the logic behind the mechanism:

– **The cap: 20% of the Wallet, not 20% of the deal.** A Partner can route up to twenty percent (20%) — but of the balance in their own personal profit-sharing Wallet, not of the engagement's

total profit pool. That's a meaningful distinction: the cap is calculated on the slice that has already reached the Partner personally, not on the whole pie.

– **Who can serve as attorney-in-fact.** As a rule, the attorney-in-fact must be another active Partner within the Organization itself — not an outside party. An exception (an attorney-in-fact who isn't a Partner in the Organization) is possible only with the written approval of the senior of the Partner's own Discipline Group, given after consulting the head of the holdings group.

– **The completion-and-signature order — and why it's so strict.** To prevent anyone from being enrolled in this arrangement without knowing about it or wanting it, the form has to be completed in a fixed, non-negotiable order: first, the purported attorney-in-fact fills in their own part (including the routing percentage being requested) and signs it. Only after that — with the form already partly signed — does it pass to the Partner themselves (the grantor), who must fill in, personally and only personally — never through the attorney-in-fact, a manager, or anyone else acting on their behalf — their own name, bank details and Global Identification Document, and sign it personally.

– **What happens if someone bypasses that order.** If a manager, the attorney-in-fact, or anyone else signs in the Partner's name, fills in the Partner's details, or attaches identification documents on the Partner's behalf, the annex is void from the outset — as though it were never signed at all — is treated as serious organizational fraud, and immediately triggers the automatic 60-second access-lockout mechanism. This isn't a technicality that can just be corrected; it's handled with the same seriousness as any other fraud or security incident.

– **The Organization isn't a party to the arrangement between the two of you.** The Organization is not a party to whatever underlies the power of attorney between the Partner and the attorney-in-fact (what the Partner is receiving in exchange, if anything, for example), and bears no tax, reporting, or other legal responsibility arising from that arrangement — that responsibility stays exclusively between the Partner and the attorney-in-fact.

– **One payment, to one account.** The full amount is paid into a single bank account only — either the Partner's or the attorney-in-fact's, whichever is selected on the form — and the actual division between them happens outside the Organization's payment system, unless special payment terms (splitting into two accounts) have been specifically approved, in writing, by a senior of the Organization signing Annex D itself.

Chapter 6: Performance, Growth & Advancement

Every partner probably asks, sooner or later — "so how do I move up from here?" Los Gardios has one clear answer. There is no generic rank ladder here, and no seniority that by itself earns advancement. There is one defined growth path — described here in full — and alongside it, a

separate, automatic crowning track that activates once specific conditions are met. This chapter explains both.

The growth path, start to finish. Every partner's starting point is the focused abbreviated onboarding training (see the chapter on onboarding and training, above). From there, a partner's growth in the Organization is expressed mainly through one central ability: recruiting and bringing suitable additional partners and team members into the Organization. That is the main "engine" of growth in this system — not seniority, not a periodic performance review, but the ability to actually build and expand.

The partner's *own* transition to a more senior management role within the Organization, by contrast, is a different story altogether: it is at the Organization's sole discretion in every single case, and is not an automatic right that follows from any particular criterion — not the number of partners you've recruited, not tenure, and not strong performance on its own. In other words: recruiting and expanding a team is your way of demonstrating ability and actually growing; being appointed to a more senior role is a separate organizational decision.

And what happens if a serious interpersonal difficulty arises along the way — with another partner, with a manager, with someone you yourself recruited? The Organization's answer is **"Remapping,"** not removal. That means: a move to a more suitable place within the Organization, while preserving all the capital and rights already accrued — not expulsion, and not starting over from zero. (The Remapping mechanism itself, with its further detail, is explained in the chapter on decision-making and escalation, below.)

Growing by building a team — and why it isn't "just recruiting." When you bring another partner or team member into the Organization, it doesn't end the moment they sign. Everyone brought into a role — including anyone brought into a management role that supervises, on your behalf, team members, client communications, or projects in the Organization's name — must themselves go through the same screening process and the same focused abbreviated onboarding training every partner goes through, and must meet the targets required of them, before they actually begin exercising management authority over people, clients, or projects. The idea: the standard doesn't change just because someone else brought someone in — every person in a management role, without exception, comes through the same front door.

There is also a financial dimension worth knowing about: a partner who recruits and brings additional partners into the Organization — whether into the Execution Layer or into other management layers — may privately agree with each partner they recruited to route part of that recruited partner's personal profit-sharing Wallet in their favor, as consideration for bringing them into the Organization or for the opportunities within it. It's important to be clear: this is **not** a new or separate payment mechanism. It is exactly the same financial-power-of-attorney mechanism

described elsewhere (see the chapter on compensation mechanics, above) — with the same terms and the same routing cap that always applies to it. Recruiting doesn't "unlock" an additional payment channel; it is simply one of the possible reasons two partners might choose to use the existing mechanism between them.

"Royal Member" status — a crowning that happens on its own. Alongside the regular growth path, there is a separate track that doesn't depend on any management decision at all. When a partner's personal recruitment chain reaches a third generation — meaning: the partner recruited and brought in a partner (first generation), that partner recruited and brought in a partner of their own (second generation), and that partner recruited and brought in yet another partner of their own (third generation) — Royal Member status is conferred on the original partner, **naturally, organically and automatically**. There is no application, no nomination, and no decision anyone needs to approve: it is a direct result of the chain itself, applied uniformly across every Discipline Group. One precision worth noting: the count of generations is counted separately for each partner, relative to the chain that partner personally recruited and brought in — not relative to whoever recruited them.

Once the condition is met, the partner is officially crowned with the Royal Member title, and is automatically assigned to the operational grade of Department Head / Division Head — that is, the Division layer (see the chapter on organizational structure and tiers, above) — and participates, by virtue of this automatic assignment alone, in the compensation rights of the Department Head Wallet layer in the Waterfall. Updating the Separate Engagement Document to reflect the crowning is declarative only — the economic entitlement doesn't wait for the paperwork to catch up.

There is also a higher tier — the macro layer, with more extensive compensation rights — but entry into it is **not** part of the automatic crowning: it requires a separate, specific designation from the Organization. In other words, the crowning to Royal Member is always automatic and clear; entry into the macro layer is an additional, optional path that requires an explicit decision.

Two last things worth knowing about this status: it is personal, and cannot be transferred, gifted, or accelerated — which is also why it never applies to a new partner the moment they onboard (it is built from an actual recruitment chain, over time). Separately, there is also a *structural* Royal-Member-layer position — a role created when the Organization itself expands and needs a grade that coordinates across several Department Heads. A role like that is filled by HQ appointment, not by automatic crowning — but filling it takes nothing away from the status and rights of a partner who was crowned "the natural way" described above.

Quality standards and the cure period — the practical version. Finally, growth also comes with expectations. The Organization expects a partner to perform their services at a professional level suited to their Discipline Group and role, and to stay current and relevant in their field. If the

Organization identifies a material quality or performance deficiency — distinct from a breach of a time-box, which is a separate matter — it will give the partner written notice describing the deficiency, and the partner then has a period of **fourteen (14) business days** from delivery of that notice to fix it. Breaches of confidentiality, non-solicitation, non-disclosure of methodology, and breaches of intellectual-property duties are not part of this mechanism — they are governed separately and exclusively elsewhere. The full binding wording of the performance standard and the cure period — including every exception and precise condition — appears in the Partnership Agreement itself; the purpose here is just to explain the idea: there is a standard, and there is a real opportunity to fix things before any further steps are taken.

Chapter 7: Intellectual Property in Practice

As the Partnership Agreement already establishes, the default rule is that work product, business ideas and intellectual property a partner creates in connection with the Organization's business belong to the Organization. This chapter does not repeat that default — it explains the one narrow, precise path by which a partner can keep an idea instead, and what actually happens once an idea gets onto that path.

The two-part gate to keeping an idea as the partner's own. For an idea, project or piece of work product to remain in the partner's full ownership, two conditions have to be met together — not one or the other, both:

– **Written disclosure, in advance.** The partner has to disclose the idea to the Organization in writing — in the onboarding paperwork, if the idea existed before the engagement began, or in a separate written notice before starting any work on it, if the idea came up mid-engagement.

– **HQ's express, prior, written approval.** HQ has to give express written approval, in advance, classifying the idea as "Private-Scale."

Absent that approval, the default Organization-ownership rule applies in full and finally — no matter how obviously unrelated to the Organization's business the idea may later turn out to be. Disclosure alone is not enough: it lets the Organization check for a conflict of interest in advance, but it is not itself an approval. Getting that written approval before starting work is entirely the partner's own responsibility. Put simply: the moment that matters is before work starts, not after.

Whose call is it: Enterprise-Scale or Private-Scale? The classification itself — "Enterprise-Scale" versus "Private-Scale" — is HQ's decision alone. It isn't something a partner can decide for themselves, and it isn't an automatic function of how big or small the idea looks. Once HQ makes the call and delivers it to the partner in writing, it gets recorded in the relevant Separate Engagement Document.

Once an idea is confirmed Private-Scale: two ways to take it forward. An idea approved in writing as Private-Scale stays in the partner's full (100%) ownership, and the partner has two alternative paths forward:

– **Full independent development.** The partner can develop the idea entirely independently, hiring the Organization's internal Discipline Groups exactly as they would hire any other external vendor — against a retainer or agreed commercial terms, at market or agreed rates. On this path, the partner keeps the full (100%) ownership of the idea, and the Organization takes no percentage of it whatsoever (0%).

– **Handing the idea to the Organization, in exchange for Project Manager compensation.** If, by its nature and scale, the idea turns out to work better as an Enterprise-Scale project, the partner can choose to transfer ownership to the Organization instead. The idea then becomes an Enterprise-Scale project, and the partner is compensated as the Project Manager of that specific project — on exactly the same terms any other partner who originates or runs a similar project would receive. It isn't extra pay for having thought of it first; it's the ordinary compensation for running it.

Only on the second path: the Founders' Track scholarship — fully discretionary, not a right. When a partner chooses to hand an Enterprise-Scale idea to the Organization (the second path only — not the first), the Organization may, at its sole discretion and as a matter of goodwill, offer the partner the Founders' Track at the Business School, fully or partially funded. It's worth being precise here: this is a discretionary benefit only, not a vested right, and offering it to one partner creates no precedent for any other. And where the scholarship is offered and the partner does receive the funding, it comes with a minimal good-faith commitment to actually participate in and complete the training. A partner who does not participate in good faith, or who abandons the training without justified cause after receiving it at a discount or for free, may be required — at HQ's discretion, not automatically — to repay the Organization the value of the training received, in whole or in part. This is a real and distinct clawback right, even though it is not something the Organization exercises as a matter of routine.

The Good-Faith IP Release — the mirror-image discretionary option. Sometimes HQ itself concludes that an idea or piece of work product the Organization owns by default simply has no Enterprise-Scale potential. In that case, the Organization may — at its sole discretion, and with no legal obligation to do so — release its ownership and return it to the partner who created it. This is not the partner's right: if the Organization declines to release a given idea, the partner has no claim or entitlement arising from that refusal.

The hermetic blocking rule — a pointer, not a repeat. The Partnership Agreement sets out a separate, absolute rule: clients, contacts, leads and the Organization's business network can never

be treated as anyone's "private idea," regardless of how a related idea was classified. That rule is not restated in detail here — it appears in full in the Partnership Agreement, and it applies in full to everything described in this chapter.

Statutory rights that survive on their own. Nothing in this chapter cuts into any non-waivable statutory compensation right that may accrue to a partner under mandatory law applicable to them. Such a right, if and when it arises, survives entirely independently of the classification, transfer or scholarship mechanisms described above.

What actually changes hands when an engagement ends. A principle that governs the Organization's relationship with its own clients applies, by analogy, to the relationship between the Organization and its partners too: when an engagement with an external client ends, the client is entitled only to the final, signed-off deliverables — not to the underlying models, strategy documents or methodology. The same logic applies to what a partner is entitled to take from the Organization: finished, delivered work product — not internal working files, models or methodology — unless a separate written agreement says otherwise.

Chapter 8: Data Security in Practice

The Partnership Agreement already sets out the general security obligation that applies to every partner, the 48-hour duty to report a security incident, and the minimum insurance requirement. This chapter doesn't repeat those duties — it explains how a partner's actual scope of access to data gets set, what stays a partner's responsibility even when the Organization isn't tracking it, and what is and isn't allowed when it comes to technology and AI tools.

Data access is set automatically by Discipline Group. There is no individual, case-by-case determination for each partner. Instead, the category of data and system access a role requires is derived directly from the partner's Discipline Group:

– **Commerce** — client data, business information and commercial terms.

– **Marketing** — campaign data, end-customer data and analytics.

– **Development** — code, system data and technical access.

– **Creative-Productions** — creative assets and brand materials.

HQ can widen or narrow this scope for a specific role, at its discretion and on written notice — but the default always tracks the Discipline Group.

A partner's own country's law stays their responsibility — even without organizational tracking. Nothing in this chapter, and no security mechanism the Organization runs, exempts a partner from the independent compliance obligations that apply to them under their own country's

data-protection law. That responsibility is exclusively and fully the partner's own, and the Organization does not actively document or track it.

The default rule: unapproved tools are off-limits. This is probably the most practical point in this chapter. By default, a partner may not use any platform, software, app, technology or AI model for Organization-related work — unless one of two conditions is met:

– **Access through a secured Organization account** — meaning an account the Organization itself owns, not the partner's personal account; or

– **Specific, express, prior written approval** — from a senior officer (at Department Head level or above, or someone delegated that authority under the delegation register), given specifically for that partner and that specific use. The basis for the approval — not just the name of the tool category, but the actual details: which account, or the specifics of the individual approval, its date and the source of authority behind it — has to be recorded explicitly. The point is that a partner should always have a clear, well-founded answer to what authorized a given tool — including if ever called on to testify to it in a legal or arbitration proceeding.

Anything produced through such a tool — approved or not — belongs to the Organization exclusively, under the intellectual-property rules (Chapter 7 above). That doesn't change with approval; what changes is the partner's legal exposure.

The distinction that matters: unapproved use with data exposure, versus unapproved use without it. This is a precise distinction worth knowing, because the two are not treated the same:

– Using an unapproved tool, or a personal account, **through which confidential information, client data or Organization work product was actually entered, stored, processed or exposed** — is treated as a serious security breach, equivalent to a material confidentiality breach for all purposes. That triggers the full chain of consequences, including liquidated damages and immediate termination rights.

– Using an unapproved tool **by itself, without** any such actual entry, storage, processing or exposure — is still a material breach of the Agreement, and still gives the Organization the right to terminate the engagement. But it does **not**, by itself, trigger the liquidated-damages mechanism. Liquidated damages apply only where confidential information, client data or work product was actually exposed through an unapproved channel — not merely from choosing the wrong tool.

This distinction is deliberate and real: not every unapproved-tool situation carries the same consequence, and the two should not be blurred together.

It's also worth being clear about what this chapter does not say: nothing here limits a partner's right to independently choose the generic tools they use for day-to-day work, so long as using them doesn't involve handling confidential information, client data or Organization work product. The

prior-approval requirement is about how information is handled through a tool — not about the mere choice of the tool itself.

Negligence counts the same as intent, for consequences. No "bad intent" is required to land in the same chain of consequences. A partner who was negligent in maintaining the general security obligation (already set out in the Partnership Agreement) — where that negligence actually caused a security incident, a data leak or unauthorized access — will be treated as having breached confidentiality for all purposes, with exactly the same chain of consequences as a deliberate breach: liquidated damages, and the right to immediate termination. In other words, good intentions do not shield a partner if the actual outcome is a leak — what matters is whether there was negligence, and whether it actually caused the incident.

This is not a substitute for independent compliance. Nothing in this chapter relieves a partner of the independent compliance obligations that apply to it under its own country's data-protection law; that responsibility is the partner's exclusive and full responsibility under Section 14 of the Partnership Agreement, and is not actively documented or tracked by the Organization.

Chapter 9: Decision-Making & Escalation

This chapter is about how decisions get made in the Organization and who has the authority to make them — not about liability or indemnification between the Organization and a partner, which the Partnership Agreement itself already addresses directly.

Voice, Not Vote. Every partner's opinion, input and voice carry real weight — they are heard and taken seriously in department and team discussions, brainstorms and day-to-day conversations. At the same time, it's important to understand the boundary: profit percentages and tier status under the Partnership Agreement do not give any partner voting rights with binding legal force over how the Organization is governed or run. The Conglomerate CEO / Holdings does not need any partner's signature or approval to make binding corporate decisions.

No peer vote can remove a partner — but Remapping exists for real dysfunction. No departmental majority or peer vote, however large, can remove a partner or terminate their engagement. The organizational remedy for serious interpersonal dysfunction is "Remapping" — moving the partner to a team, brand or Discipline Group that fits better — while fully preserving their entire accrued Wallet balance and every right already vested under the Partnership Agreement. There's a threshold worth knowing: HQ will only even consider a request to activate Remapping if at least seventy percent (70%) of the currently active members of the relevant department support it in writing. It matters exactly what that 70% does and doesn't do: it's only a threshold to get HQ to consider the request in the first place. It doesn't force any particular

outcome, and it isn't a removal vote. The final decision — whether to remap at all, and in what form — rests entirely with HQ's own discretion.

Entirely separate from Remapping: reassigning a project for performance reasons. HQ has a second, completely distinct tool: it can, at its sole discretion and on prior written notice, reassign a specific engagement, project or brand from one partner to another, where the partner has not met the timelines, performance targets or client-satisfaction level set for that engagement. It's worth being clear about what this is and isn't:

– It's routine, ordinary B2B account management — not a breach, and not a termination.

– It doesn't affect the partner's standing on any of their other engagements.

– It doesn't erase profit the partner has already actually earned on the reassigned engagement, up to the date of the reassignment.

No partner can sell an Organization asset on their own authority. No partner, from any Discipline Group, may unilaterally sell, transfer or dispose of any brand, project, domain or other asset of the Organization, without prior written approval from HQ.

Who can actually bind the Organization. Final authority to contractually bind the Organization rests solely with the Conglomerate CEO / Holdings. That authority can be delegated, in writing and revocably, to named officers for specific approvals only — for example, authority to sign Separate Engagement Documents or approve asset sales — recorded in an internal delegation register. The point every partner should take from this: apparent authority is not enough to rely on. No partner may treat an officer as authorized to bind the Organization beyond what is actually written in the delegation register.

Chapter 10: Your Core Commitments in Detail

The Partnership Agreement you sign points, on each of the topics below, to this Handbook for the full detail. This chapter is where every commitment you sign up to is actually spelled out.

Confidentiality. Any information relating to the Organization, the School, their clients, their partners, methodologies, financial models, strategies, the Neuron OS architecture, training programs, or internal procedures is confidential information. You undertake to keep it in absolute confidence, and to use it only to perform your work for the Organization.

Non-solicitation. Whether active or having departed, from any Discipline Group, you may never solicit, approach, take, or use the Organization's suppliers, partners, or clients for the benefit of any outside venture, without the Organization's prior written permission. The Organization's clients, contacts, and business network are and remain its exclusive property at all times — even if one of

your own ideas has been approved as "Private-Scale" (see Chapter 7), that never permits you to approach the Organization's clients or contacts privately.

Non-disclosure of methodology. The Organization does not restrict you geographically once you leave. Instead, you are under a permanent, absolute prohibition on sharing, teaching, transferring, or disclosing to any external party any part of the Organization's framework, training programs, work procedures (SOPs), methodologies, or technical, creative, or marketing architectures. This prohibition is absolute and without exception — even when raising investment for your own independent, unrelated venture, and even for investor due diligence. For clarity: non-solicitation, non-disclosure of methodology, and the prohibition on using confidential information are the **only** restrictions that continue to bind you after you leave. The Organization does not otherwise restrict your future occupation, workplace, or field of activity in any way.

Automatic access lockout. Any identification of sabotage, a leak, data forgery, or a breach of confidentiality on your part, from any Discipline Group, automatically revokes your access across all Neuron OS systems within sixty (60) seconds of detection. This is an immediate security response, distinct from termination of the Agreement.

Preventive security duty. Beyond the lockout mechanism, you are under an active duty to take reasonable preventive measures to safeguard any confidential information, client data, or access credentials entrusted to you — including reasonable administrative, technical, and organizational security measures and appropriate access controls.

Subcontracting — the full procedure. The Partnership Agreement grants you the right to engage subcontractors. To exercise it: the subcontractor must itself pass, before starting work, the same screening and abbreviated certification process described in Chapter 2 above, and must itself sign a partnership agreement parallel to yours with the Organization — as an independent business partner in its own right, not as your sub-contractor from the Organization's perspective. Payment terms between you and your subcontractor are a private matter between you; routing payment through your own Neuron OS Wallet to a subcontractor is limited solely to the financial power-of-attorney mechanism (Agreement Section 6(h) and Annex D).

Intellectual property — the hermetic blocking rule and assignment. The Organization's clients, contacts, and business network are never a "Private-Scale idea," and can never be classified as one under any circumstances — this is an independent prohibition, on top of the separate non-solicitation rule. To the maximum extent the law allows, any work product owned by the Organization is treated as "work made for hire"; to the extent it doesn't qualify, you irrevocably assign the Organization the full rights in it and waive any moral rights in it (or, in countries that don't permit that waiver, grant the Organization an irrevocable, exclusive, worldwide license to use it).

Authority — voice, not vote. Your opinion and voice carry real weight in your department's and team's discussions and decisions. That said, your profit percentage and standing don't create binding voting rights over how the Organization is governed. Final authority to contractually bind the Organization rests solely with the Conglomerate CEO, who may delegate specific powers in writing to named officers; you may not rely on any officer's apparent authority beyond what the written delegation register actually approves.